When a solution was almost worked out and was acceptable to both sides, it was sabotaged at the last moment by suitably inducing Congress chief ministers of the neighbouring two states (Haryana and Rajasthan) to object. In other instances, previously approved decisions at the highest level, which had been shared with the Akali Dal delegation, were changed by Indira Gandhi overnight without ascribing any reason for doing so. In case the moderate Akali leadership, fed up with the protracted but fruitless negotiations with the government and worried about the consequences of the Bhindranwale-inspired escalation of violence in Punjab, decided on their own to withdraw their agitation, the government would use some of its carefully cultivated senior Akali leaders to sabotage their efforts.

An interesting part of this strategy was that while the so-called search for a negotiated solution was on, the governments – both Central and state – continued to ignore, if not encourage, Bhindranwale's extremist activities, with the Punjab police totally confused if not paralysed. Those like DIG Avtar Singh Atwal who dared challenge Bhindranwale were eliminated by him, sending a signal to the rest that they had better behave to avoid a similar fate. DIG Atwal was murdered on 25 April 1983 as he emerged after paying obeisance at the Golden Temple.

From the middle of 1982, Kao was allowed to plan SFF-led commando operations to grab Bhindranwale from three different locations – Chowk Mehta, Guru Nanak Niwas and the Golden Temple complex. This gave an impression to Indian agencies, their officers and staff members that Prime Minister Gandhi was actually very serious about putting an end to the whole affair by grabbing Bhindranwale from his known hideouts. But when the SFF was finally ready to launch such an operation (in April 1984, see Chapter 8), Indira Gandhi aborted it on the plea that she could not afford the possible civilian casualties that might result. That estimated loss was a fraction of the horrific losses caused by Operation Blue Star, launched within two months of that decision.

Talks begin